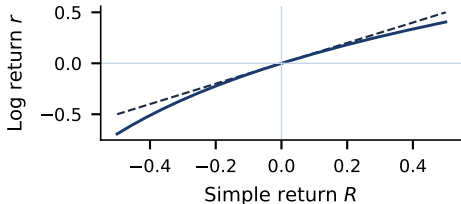
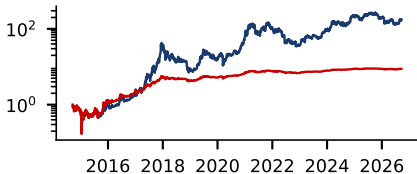


$r \approx R$ only for small returns



--- $r = R$ — $r = \ln(1 + R)$

Bitcoin: simple returns
do not add up over time



— True wealth $\prod(1 + R_t)$

— $1 + \sum R_t$ (wrong)